

PROVIDER SERVICES · LIFE SCIENCES & DIAGNOSTICS
MEDICAL PRODUCTS & DISTRIBUTION
PHARMACY & HEALTHCARE SERVICES

BENCHMARK® INTERNATIONAL

MIDDLE MARKET

QUARTERLY INDUSTRY REPORT | Q4 2026

# HEALTHCARE

*Mergers and acquisitions across provider services, life sciences, medical products, and pharmacy services*

WHAT'S INCLUDED


| | | |
|---|---|---|
| 01 | INSIGHTS | The state of play, our view, market context, perspectives on four sectors, and what we are reading |
| 02 | SECTOR ACTIVITY | The select market participants, recent transactions, listed-company valuation and performance, and earnings commentary |
| 03 | CONNECT WITH US | Benchmark International and how to reach us |


OCTOBER 2026 | JARED HARDIN, MANAGING DIRECTOR

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The Middle Market team leads engagements from the first conversation through signing and closing.

## Middle Market team

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### HEALTHCARE COVERAGE

- **Provider Services**
- **Medical Products & Distribution**
- **Life Sciences & Diagnostics**
- **Pharmacy & Healthcare Services**

# 01

# Insights

- Healthcare M&A: state of play
- Our view
- Historical market context
- Market fundamentals
- Perspectives on four sectors
- What we're reading



# Healthcare M&A: State of Play

Strategic buyers are setting the pace in 2026 while private equity completes fewer healthcare services transactions.

## M&A market dynamics

- Private equity completed an estimated 337 healthcare services transactions in the first half, a pace of 674 for the year and the lowest annual count since 2017 (PitchBook via Fierce Healthcare).
- Strategic buyers carried more of the activity: medtech deal value reached $36.5 billion in the first half (PwC via MedTech Dive), and hospitals and health systems announced 56 transactions through September, 16 of them in the third quarter (Kaufman Hall).
- Biopharma deal value reached $130 billion in six months, almost matching the total for all of 2025 (IQVIA).

## Reimbursement and policy

- Medicare has proposed 2027 physician conversion factors of $33.17 and $32.84, reductions of 1.19% and 1.68%, with the final rule pending (CMS).
- Hospital outpatient, surgery center, and home health rates are proposed to rise 2.4% (CMS outpatient rule; CMS home health), and Medicare Advantage rates rise 2.48% (CMS rate notice).
- Medicaid work requirements and six-month eligibility reviews for expansion adults begin in January 2027 (CMS).

## Financing and macro backdrop

- The Federal Reserve raised its target range to 3.75% to 4.00% on September 16 (Federal Reserve), and the 10-year Treasury yielded 5.09% on October 16 (US Treasury).
- In a small sample of recent buyout loans, PitchBook found direct-lender spreads averaging 509 basis points in the second quarter against 474 in the first (PitchBook).
- Completed middle-market transactions across industries averaged 7.0x EBITDA, with senior debt priced at 7.8% (GF Data via ACG).

## Demand fundamentals

- National health spending grew 6.8% in the year to July 2026 and represented 18.4% of GDP (Altarum).
- CMS projects nearly $9.0 trillion of spending in 2034, or 20.6% of GDP, on average annual growth of 5.4% (CMS).
- Healthcare employers added 17,000 jobs in September against a twelve-month average of 33,000 (Bureau of Labor Statistics).

## Trade and deal regulation

- A 100% default tariff applies to covered patented pharmaceuticals, with country and company exceptions and generics excluded (White House proclamation). The medical device investigation remained open in September with no tariff imposed (iData Research).
- California now requires transaction notices from private equity groups and management services organizations (Nixon Peabody), and Maine's 180-day notice and approval regime begins January 1, 2027 (Foley & Lardner).

### FOR OWNERS

Medicaid redeterminations begin in January, so a Medicaid-weighted provider should expect diligence on enrollment attrition. Negotiated Medicare drug prices cut Guardian Pharmacy's growth to 2% in one quarter. Operating companies are winning auctions against sponsors because senior debt prices at 7.8%.

Private equity paid a median 13.6x EBITDA for healthcare services companies in 2025, on targets with median revenue of $162.5 million (PitchBook via Becker's ASC Review), and 87% of sales above $5 million across industries drew three or more offers (IBBA and M&A Source).

Figures are as of October 16, 2026, and deal counts and values are as reported by the named publisher and are revised as transactions are confirmed.

# Our View

Strategic buyers hold the advantage into 2027, and the owners who do best will have answered the policy questions before a buyer asks them.

## THE HOUSE VIEW

Operating companies and the largest platforms are buying through 7.8% senior debt and 500-basis-point spreads because they pay from cash flow, and hospital transactions are tracking to their most active year since 2020 while private equity's healthcare services count is at a 2017 pace.

We expect that division to hold through the first half of 2027. Sponsor volume returns once the September rate increase is absorbed and the 2027 Medicare and Medicaid rules are final, and the 2021 vintage of platforms still waiting for an exit will bring supply to market before then.

For an owner, the next twelve months favor a process built around strategic buyers, launched with the payer-mix and enrollment analysis already done and timed ahead of the sponsor exits that will crowd the second half of 2027.

## 01 Strategic Buyers

Operating companies bought seven of the nine named sellers in Benchmark's last 24 months of healthcare closings, HCA has added about 70 urgent care centers this year, and Danaher, Merck KGaA, and Labcorp are paying for consumables and testing volume. A buyer list that leads with strategics and brings in sponsors for competitive tension suits a 2027 process.

## 02 Reimbursement Dates

The 2027 physician fee schedule proposes conversion factor cuts of 1.2% to 1.7%, Medicaid work requirements, and six-month redeterminations start in January, and laboratory fee cuts of up to 15% a year resume unless the RESULTS Act passes. Buyers will model these items line by line, so an owner who brings that analysis to the first meeting stays in control of the valuation conversation.

## 03 Adjusted Multiples

On company-reported adjusted EBITDA the listed reference set trades at 14.3x, with provider services at 14.2x, medical products at 10.7x and pharmacy services at 15.0x, each within 1.3 turns of a year ago, while life sciences and diagnostics re-rated to 18.7x. Private healthcare services deals cleared a 13.6x median in 2025 on targets with $162.5 million of revenue, against 5.8x for $5 million to $50 million businesses across industries. Scale, contracted revenue, and payer mix account for the gap between those two numbers.

## 04 Supply

PitchBook's healthcare analyst expects mean reversion from the 2026 low, and AMN and Thermo Fisher both described fuller pipelines on their second-quarter calls. Sponsor exits are running 26% below last year's pace, which builds a backlog of platforms waiting to sell. Owners who launch in the first half of 2027 meet buyers before that backlog clears.

## WHAT WE ARE WATCHING

**OCTOBER 21 AND 28**

Integer shareholders vote on the KKR offer; the FOMC meets a second time after the September increase.

**LATE OCTOBER TO NOVEMBER**

Final CY2027 physician fee schedule, outpatient, and home health rules; Q3 earnings for the reference set.

**JANUARY 1, 2027**

Medicaid work requirements and six-month redeterminations begin; Maine's 180-day notice regime starts; PAMA lab cuts resume absent legislation.

**MID-JANUARY 2027**

Kaufman Hall's full-year hospital count and PitchBook's Q4 healthcare services report set the 2026 baseline.

# Historical Market Context

Health spending has grown steadily since 2016, and hospital transaction counts have recovered from the 2025 low.

*Spending on care has grown annually for a decade, and transaction counts have moved with financing costs and policy.*

**$5.3T**

National health expenditures reached $5.3 trillion in 2024, or 18.0% of GDP, against $3.3 trillion in 2016 (CMS).

**5.4%**

CMS projects average annual spending growth of 5.4% from 2025 to 2034, against 4.1% for the economy, which would take spending to $9.0 trillion ( Committee for a Responsible Federal Budget).

**46**

Hospitals and health systems announced 46 transactions in 2025, the fewest in the series, against 117 in 2017 (Kaufman Hall).

**56**

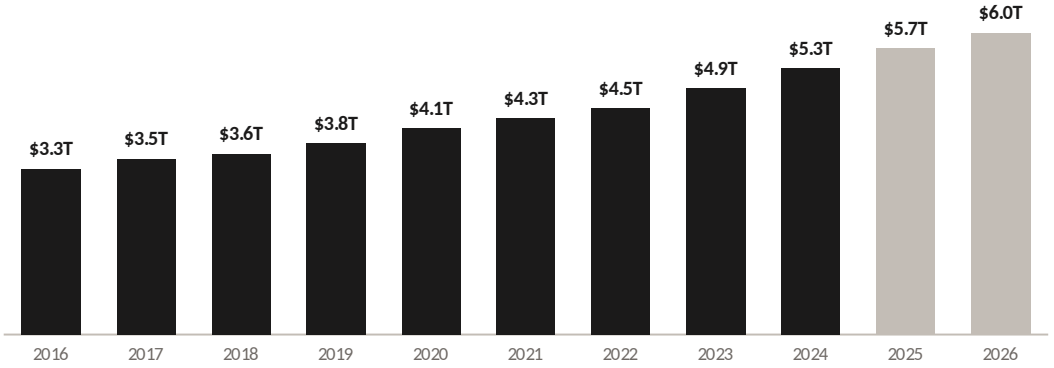
The first three quarters of 2026 produced 56 announced hospital transactions: 22 in the first quarter, 18 in the second, and 16 in the third ( Kaufman Hall).

**1,217**

Private equity completed 1,217 healthcare services transactions in 2021 and an estimated 747 in 2025 (PitchBook).

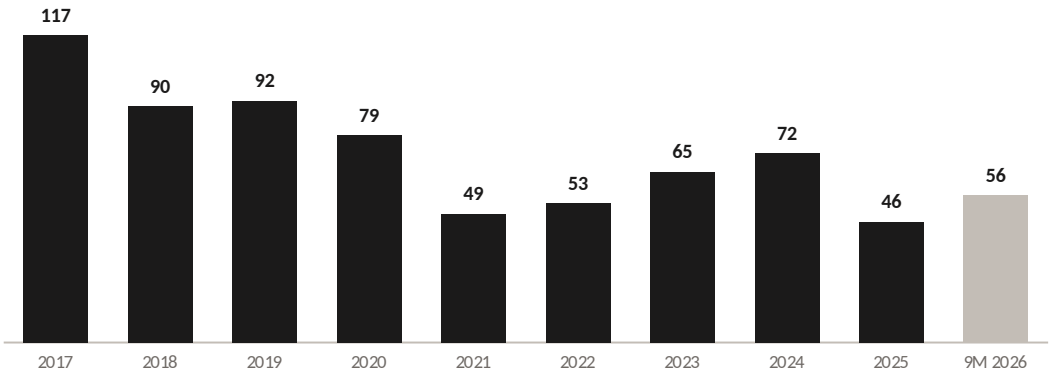
### National health expenditures

$ trillions; 2025 and 2026 are CMS projections. Source: CMS; CRFB




### Announced hospital and health system transactions

Number per year; 2026 covers the first three quarters. Source: Kaufman Hall




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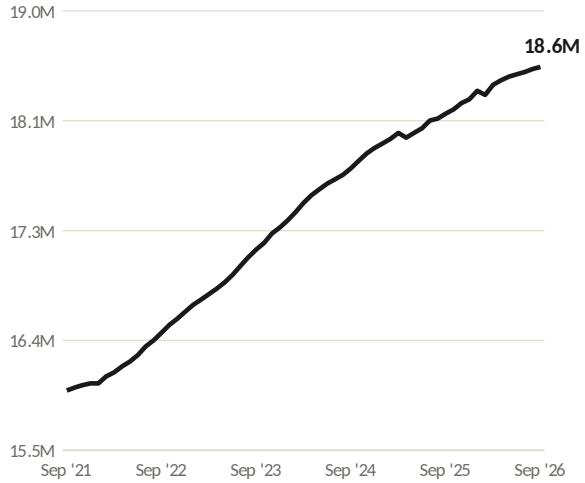
National health expenditures are from the CMS historical tables; 2025 and 2026 are CMS projections. Transaction counts are announced transactions as tallied by Kaufman Hall.

# Market Fundamentals

Employment, capital investment, and drug approvals have grown since 2021, which supports demand across the four sectors.

## HEALTHCARE EMPLOYMENT

All employees, healthcare, millions, monthly, seasonally adjusted. Source: Bureau of Labor Statistics via FRED




- Healthcare employed 18.55 million people in September 2026, 16.1% more than in September 2021 and 2.0% more than a year earlier.
- Health care and social assistance had 1,359,000 open positions in August (Bureau of Labor Statistics JOLTS). Buyers test clinician turnover as closely as payer mix.

## FACILITY CONSTRUCTION

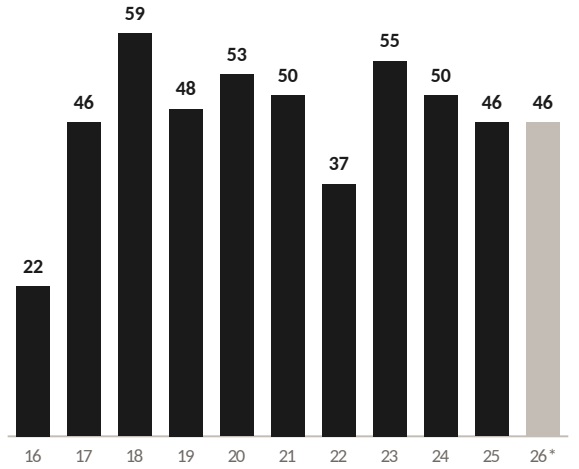
Total construction spending on healthcare, $ billions at an annual rate, monthly. Source: US Census Bureau via FRED




- Healthcare construction ran at an annual rate of $75.8 billion in August 2026, 49% above September 2021 in nominal dollars.
- Among hospital and health system executives surveyed, 41% plan to cut capital spending in 2026 ( Sage Growth Partners via HFMA), which shifts spending from new construction toward acquisition.

## FDA DRUG APPROVALS

Novel drugs approved by the FDA Center for Drug Evaluation and Research, by year. Source: FDA; RAPS




- The FDA approved 46 novel drugs in 2025 and 46 in 2026 through October 9, after a low of 37 in 2022.
- Outsourced research has recovered alongside approvals, with IQVIA booking $1.22 of new work for each dollar of revenue in the second quarter (IQVIA).



* 2026 covers approvals through October 9. Employment and construction series run from September 2021 to the latest month published as of October 16, 2026. Approval counts for 2016 to 2021 and 2024 are as reported by RAPS and US Pharmacist from FDA data.

# Perspectives on Four Sectors

Buyers and drivers differ by sector, and this page covers providers, laboratories, and research services.

## PROVIDER SERVICES

*Health systems are buying access points and sponsors are trading platforms.*

### SUBSECTORS WE COVER

Urgent care, Optometry & eye care, Pediatric & physical therapy, Multi-specialty medical groups, Emergency medical services, Renal care



### KEY TRENDS

- The 100 largest urgent care operators hold 6,056 of the country's 14,655 centers, and 55.9% of those Top 100 locations are affiliated with a hospital ( Journal of Urgent Care Medicine).
- HCA Healthcare acquired about 70 urgent care centers in three 2026 transactions: CommunityMed, Urgent Care Group, and Texas MedClinic (Becker's ASC Review; Healthcare Dive).
- Care in the home drew some of the largest sponsor-led provider transactions of the year, including General Atlantic's purchase of TEAM Services Group at about $3 billion (LevinPro ) and Kinderhook's agreement to take Enhabit private at about $1.1 billion (Enhabit).
- Independent practice continues to shrink, and 42.2% of physicians work in physician-owned practices against 60.1% in 2012 ( AMA 2024 Benchmark Survey via Medical Economics).

### ACTIVE BUYERS

HCA Healthcare, MyEyeDr., U.S. Physical Therapy, Addus HomeCare, Concentra, Kinderhook, and Universal Health Services

### LISTED REFERENCE COMPANIES

HCA Healthcare · Tenet Health · USPH One Partner · DaVita Kidney Care · Addus · Pennant · Acadia Healthcare · LifeStance Health · Privia Health · Concentra · Ensign Group

## LIFE SCIENCES & DIAGNOSTICS

*Research spending has turned up and laboratories are selling to the national networks.*

### SUBSECTORS WE COVER

Clinical & pathology labs, Biologics & reagents, Clinical research sites, Human-factors & device design



### KEY TRENDS

- Quest grew revenue 10.2% in the second quarter on 13.1% more requisitions ( Quest Diagnostics), and Labcorp agreed acquisitions with total consideration of $528.6 million in the first half (Labcorp Form 10-Q).
- Medicare laboratory fee cuts of up to 15% a year could resume in 2027 unless Congress passes the RESULTS Act (Association for Diagnostics & Laboratory Medicine).
- Outsourced research has recovered, with IQVIA's net bookings up 19% (IQVIA) and Medpace growing revenue 17.2% (Medpace).
- Sponsor-backed networks continue to buy clinical research sites, including Headlands Research in California and Summit Clinical Research in Dallas (Headlands Research; Summit Clinical Research).

### ACTIVE BUYERS

Labcorp and Quest for laboratories; Thermo Fisher, Danaher, Agilent, and Merck KGaA for tools and reagents; Headlands Research and Summit Clinical Research for sites

### LISTED REFERENCE COMPANIES

Labcorp · Quest Diagnostics · ThermoFisher Scientific · Danaher · Bio-Techne · IQVIA · Medpace · ICON · Charles River

# Perspectives on Four Sectors

Buyers and drivers differ by sector, and this page covers products, distribution, pharmacy, and staffing.

## MEDICAL PRODUCTS & DISTRIBUTION

*Procedure demand is firm and consumables are outgrowing capital equipment.*

### SUBSECTORS WE COVER

Surgical instrument reprocessing, Emergency medical supplies, Respiratory & anesthesia products, Dental devices, Orthopedic products



### KEY TRENDS

- Stryker grew 9.0% organically in the second quarter (Stryker), and Steris grew healthcare-segment consumables 9% and capital equipment 1% (Steris).
- Among hospital and health system executives surveyed, 41% plan to cut capital spending in 2026 (Sage Growth Partners via HFMA). Recurring supplies hold up better than capital equipment in that budget.
- Distribution assets changed hands: Platinum Equity agreed in October 2025 to buy Owens & Minor's products segment (Owens & Minor), and Apollo bought a 13% interest in McKesson's medical-surgical unit for $1.25 billion ahead of its planned separation (McKesson).
- Tariffs have moved earnings in both directions since the Supreme Court struck down the emergency-powers tariffs on February 20 (Learning Resources v. Trump).

### ACTIVE BUYERS

KKR, Danaher, Stryker, Mitsui Chemicals, Cardinal Health, Aspen Surgical, Platinum Equity, and Apollo

### LISTED REFERENCE COMPANIES

stryker · STERIS · Teleflex · Henry Schein · Dentsply Sirona · Envista · Zimmer Biomet · Integer · solventum · VieMed

## PHARMACY & HEALTHCARE SERVICES

*Drug pricing reform is reshaping pharmacy while staffing returns to growth.*

### SUBSECTORS WE COVER

Specialty & mail-order pharmacy, Home infusion, Pharmaceutical delivery, Clinical staffing



### KEY TRENDS

- US net medicine spending reached $606 billion in 2025, up 10.6% (IQVIA Institute), while independent pharmacies reported their lowest gross profit in ten years in 2024 ( NCPA 2025 Digest).
- Negotiated Medicare prices have cut deepest in long-term care pharmacy, where Guardian grew revenue 2% while serving 8% more residents (Guardian Pharmacy Services ).
- Specialty and infusion are growing fastest, and BrightSpring's pharmacy solutions segment grew revenue 22% to $3.4 billion in the second quarter (BrightSpring).
- Healthcare staffing is forecast to grow 1% to $39.0 billion in 2026 after three years of contraction (Staffing Industry Analysts).

### ACTIVE BUYERS

Guardian Pharmacy Services, Cencora, Cardinal Health, and McKesson; Knox Lane, JLL Partners, and VeloSource in staffing and logistics; Strata Critical Medical in perfusion

### LISTED REFERENCE COMPANIES

option care health · BrightSpring Health Services · Guardian Pharmacy Services · McKESSON · cencora · CardinalHealth · CVSHealth · AMN Healthcare



Buyers named are examples drawn from 2026 transactions and results. Listed reference companies are the public comparables used on the valuation pages. Logos are the property of their owners.

# What We're Reading

Primary sources and trade reporting from the third quarter.

## What We're Reading

Four pieces from the third quarter, one per sector, with a marked passage and the takeaway for an owner.

FIERCE HEALTHCARE | PROVIDER SERVICES — August 19, 2026

### Projected healthcare services deal count to be lowest since 2017, PitchBook finds

> *"It's hard to imagine that things stay at such a depressed level. We expect mean reversion going forward."*
> Brian Wright, lead research analyst of healthcare at PitchBook

Private equity is on pace for 674 healthcare services transactions in 2026 after an estimated 337 in the first half. The analyst behind the count expects activity to return toward its longer-run level.

READ HERE

IQVIA | LIFE SCIENCES & DIAGNOSTICS — July 8, 2026

### Biopharma M&A: Mid-year 2026 update

> *"After the first six months of 2026, aggregate M&A deal value has already reached $130Bn, almost matching the full-year total for 2025, with a year-to-date deal count of 42, or 84% of the 2025 total."*
> IQVIA Global Thought Leadership

The count covers acquisitions of $250 million or more, so it describes the largest buyers. Their spending supports demand for the research, laboratory, and manufacturing services that founder-owned companies supply.

READ HERE

MEDTECH DIVE | MEDICAL PRODUCTS & DISTRIBUTION — July 6, 2026

### Top 10 medtech deals in the first half of 2026

> *"Medtech dealmakers remained busy over the first half of 2026, building on the decade-high M&A activity achieved last year with a string of deals worth upward of $1 billion."*
> MedTech Dive

PwC counted $36.5 billion of medtech acquisitions in the first half. The largest were Boston Scientific's $14.5 billion purchase of Penumbra and Danaher's $9.9 billion purchase of Masimo.

READ HERE

DRUG CHANNELS | PHARMACY & HEALTHCARE SERVICES — August 11, 2026

### The K-Shaped Pharmacy Shakeout: Consolidation in Cities, Lost Access in Rural America

> *"The United States has almost 8,000 fewer retail pharmacies than it did in 2018, and more than 2,000 closed in 2025 alone."*
> Bryce Platt, PharmD, Drug Channels

Prescription dispensing revenues reached a record $751 billion in 2025, up 10%, while the number of pharmacies fell. Scale, specialty mix, and payer contracts decide which pharmacies remain attractive to a buyer.

READ HERE



Quotations as published; the Fierce Healthcare passage joins two consecutive sentences spoken by the analyst.

# 02

# Sector Activity

- Momentum in healthcare services transactions
- Select market participants
- Select recent M&A transactions
- Benchmark International transactions
- Public companies: valuation, performance, and metrics
- Earnings and commentary



# Healthcare Services Deal Volume

Private equity completed 1,217 healthcare services transactions in 2021 and is on pace for 674 in 2026, the lowest annual count since 2017.

### 2017 to 2019

**Steady platform building**

Private equity completed between 490 and 684 healthcare services transactions a year, and hospitals announced 117 transactions in 2017 and 92 in 2019.

### 2020 to 2021

**The peak**

Volume rose to 829 in 2020 and 1,217 in 2021, the highest in the series.

### 2022 to 2024

**Three years of decline**

Annual volume fell from 998 to 682, and the Medicare conversion factor fell from $34.61 in 2022 to $32.35 in 2025 before rising to $33.40 in 2026 (AMA).

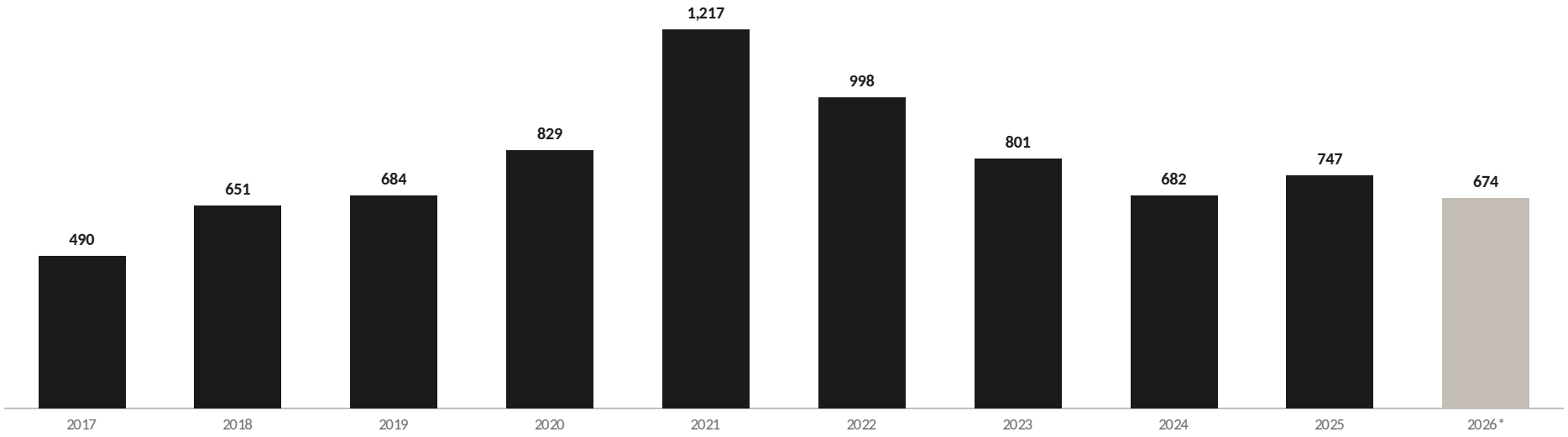
### 2025 to 2026

**Strategic buyers lead**

Volume recovered to an estimated 747 in 2025. The first half of 2026 produced an estimated 337, with physician practice deals down 46% on pace (PitchBook), while hospitals announced 56 transactions through September ( Kaufman Hall).

## US private equity healthcare services transactions

Announced or closed transactions per year. Source: PitchBook Q4 2025 and Q2 2026 Healthcare Services Reports; 2026 pace from PitchBook via Fierce Healthcare.




* 2026 is the annualized pace of an estimated 337 transactions in the first half. Annual counts are the chart labels in PitchBook's Q4 2025 report, and PitchBook restates earlier years as late-reported transactions are added. The 2025 count is an estimate.

# Select Market Participants

The listed reference companies in each sector, and the private platforms, sponsors, and strategic buyers acquiring founder-owned businesses.

## PROVIDER SERVICES

### LISTED COMPANIES

HCA Healthcare
Tenet Health
USPh
DaVita Kidney Care
ADDUS HOMECARE
PENNANT
ACADIA HEALTHCARE
LifeStance HEALTH
PRIVIA HEALTH
Concentra
ENSIGN GROUP

### PLATFORMS, SPONSORS AND HEALTH SYSTEMS

HCA Healthcare
myeyedr.
EYECARE PARTNERS
Kinderhook INDUSTRIES
UHS
ACES
MKH Capital Partners
Grant Avenue Capital
Global Medical Response

## LIFE SCIENCES & DIAGNOSTICS

### LISTED COMPANIES

labcorp
Quest Diagnostics
ThermoFisher SCIENTIFIC
danaher
bio-techne
IQVIA
MEDPACE
ICON
charles river

### RESEARCH NETWORKS AND STRATEGIC BUYERS

Headlands RESEARCH
Summit Clinical Research
Worldwide Clinical Trials
Fortrea
RESONETICS
Agilent Technologies
MERCK
Leica BIOSYSTEMS

## MEDICAL PRODUCTS & DISTRIBUTION

### LISTED COMPANIES

stryker
STERIS
Teleflex
HENRY SCHEIN
Dentsply Sirona
Envista
ZIMMER BIOMET
Integer
solventum
VieMed

### SPONSORS AND PRODUCT STRATEGICS

Mitsui Chemicals
Aspen Surgical
KKR
Platinum Equity
Hanger
APOLLO
MEDLINE
INTERSURGICAL
Montagu and Kohlberg

## PHARMACY & HEALTHCARE SERVICES

### LISTED COMPANIES

option care health
BrightSpring HEALTH SERVICES
Guardian Pharmacy Services
McKESSON
cencora
CardinalHealth
CVSHealth
AMN Healthcare

### PHARMACY, STAFFING AND LOGISTICS BUYERS

KNOX LANE
JLL Partners
SOLEO HEALTH
GenieRx Holdings
STRATA CRITICAL
VeloSource (Interlock Equity)
Care career
Elite365 FAMILY OF BRANDS



Listed companies are the reference set for the valuation pages. Private participants are buyers named in 2026 transactions. Company logos identify the companies only and remain the property of their owners.

# Select Recent Healthcare M&A Transactions

Six transactions announced or completed between June and September 2026, with at least one from each sector.

**SEPTEMBER 2026** — PROVIDER SERVICES

EYECARE PARTNERS ACQUIRED BY myeyedr.

### MyEyeDr. agrees to buy the optometry business of EyeCare Partners

The business has more than 300 offices (Eyewire News), and EyeCare Partners will apply the proceeds to debt reduction. Closing is expected in the fourth quarter ( EyeCare Partners).

**TAKEAWAY** A sponsor-backed platform sold a division to a competitor to repair its balance sheet; the consolidator with capacity set the terms.

**SEPTEMBER 2026** — PROVIDER SERVICES

accentCare. ACQUIRED BY ADDUS HOMECARE

### Addus HomeCare agrees to buy AccentCare's personal care division

Addus will pay about $275 million for AccentCare's personal care operations outside New York, with about $280 million of annual revenue in ten states ( Addus HomeCare).

**TAKEAWAY** About one times revenue, paid in cash by a listed operator, is the current reference for personal care scale.

**JUNE 2026** — LIFE SCIENCES & DIAGNOSTICS

bio-techne ACQUIRED BY MERCK

### Merck KGaA agrees to acquire Bio-Techne

The agreement values the reagent and instrument maker at an enterprise value of $11.3 billion, with closing expected by early 2027 (Bio-Techne).

**TAKEAWAY** A strategic paid a 36% premium for reagents and instruments with recurring consumable demand.

**JULY 2026** — LIFE SCIENCES & DIAGNOSTICS

StatLab ACQUIRED BY Leica BIOSYSTEMS

### Leica Biosystems agrees to buy StatLab from Audax and Linden

StatLab makes anatomic pathology consumables and had about $250 million of 2025 revenue (Danaher). Its sponsors built it through nine add-on acquisitions in five years (PE Professional), and the purchase closed on September 28.

**TAKEAWAY** Nine founder-owned businesses assembled over five years became one strategic sale, a path open to other pathology suppliers.

**AUGUST 2026** — MEDICAL PRODUCTS & DISTRIBUTION

Integer® ACQUIRED BY KKR

### KKR agrees to take Integer Holdings private

The offer of $127 a share values the contract manufacturer at an enterprise value of $5.7 billion, a 51.8% premium to the undisturbed price (Integer; Medical Design & Outsourcing). Shareholders vote on October 21 and closing is expected by year end.

**TAKEAWAY** A 52% premium for contract device manufacturing supports demand for smaller manufacturers as add-ons.

**JULY 2026** — PHARMACY & HEALTHCARE SERVICES

CROSS COUNTRY ACQUIRED BY KNOX LANE

### Knox Lane completes its purchase of Cross Country Healthcare

Knox Lane paid $437 million, or $13.25 a share, after Aya Healthcare ended an agreement at $18.61 following an extended FTC review (Fierce Healthcare). The purchase closed on July 21 (Staffing Industry Analysts).

**TAKEAWAY** An extended FTC review cost the seller $5.36 a share; antitrust timing belongs in process design for mergers of scale.

Terms are as disclosed by the parties or reported by the linked source. Benchmark International did not advise on these transactions.

# Benchmark International's Healthcare Transactions

Twelve transactions closed in the trailing 24 months across the four sectors, and operating companies bought seven of the nine named sellers.

TRAILING 24 MONTHS

**12**

transactions closed in these four sectors

**4 of 9**

sellers shown are life sciences and diagnostics companies

**7 of 9**

sellers shown were bought by an operating company

The world's #1 privately owned sell-side M&A advisor, based on PitchBook's Q2 2026 Global League Tables (Benchmark International).

PRECISE BIOSCIENCE

HAS BEEN ACQUIRED BY

NEW HORIZON MEDICAL SOLUTIONS

Amniotic membrane allografts for wound care and sports medicine

LIFE SCIENCES & DIAGNOSTICS

FORMTECH

HAS BEEN ACQUIRED BY

AAVIN PRIVATE EQUITY

Contract manufacturer of nutritional supplements

LIFE SCIENCES & DIAGNOSTICS

Fast Response On Site Testing

HAS BEEN ACQUIRED BY

Relentless Health

Mobile occupational health testing

LIFE SCIENCES & DIAGNOSTICS

CEPRO.inc: Critical Environments Professionals

HAS BEEN ACQUIRED BY

SSA Scientific Safety Alliance

Certification testing for compounding pharmacies, laboratories, and bio-containment facilities

LIFE SCIENCES & DIAGNOSTICS

ReLeaf

HAS BEEN ACQUIRED BY

Solmetex

Patent holder and brand owner of ReLeaf hands-free dental suction devices

MEDICAL PRODUCTS & DISTRIBUTION

FOSTERBRIDGE IN HOME PERSONAL CARE

HAS BEEN ACQUIRED BY

Amivie

In-home care for Ohio Medicaid waiver participants

PROVIDER SERVICES

Medical TEMPS, Inc.

HAS BEEN ACQUIRED BY

HealthAdvocates NETWORK

Nurse staffing for healthcare facilities in northern Louisiana

PHARMACY & HEALTHCARE SERVICES

the brooks group innovate | implement | impact

HAS BEEN ACQUIRED BY

A GROUP OF PRIVATE INVESTORS

Training, research, and instructional design for pharmaceutical, biotech, and device companies

PHARMACY & HEALTHCARE SERVICES

American Consultants The Healthcare People

HAS BEEN ACQUIRED BY

PIONEERS OPERATIONS

Healthcare executive and clinical placement

PHARMACY & HEALTHCARE SERVICES

BENCHMARK® INTERNATIONAL

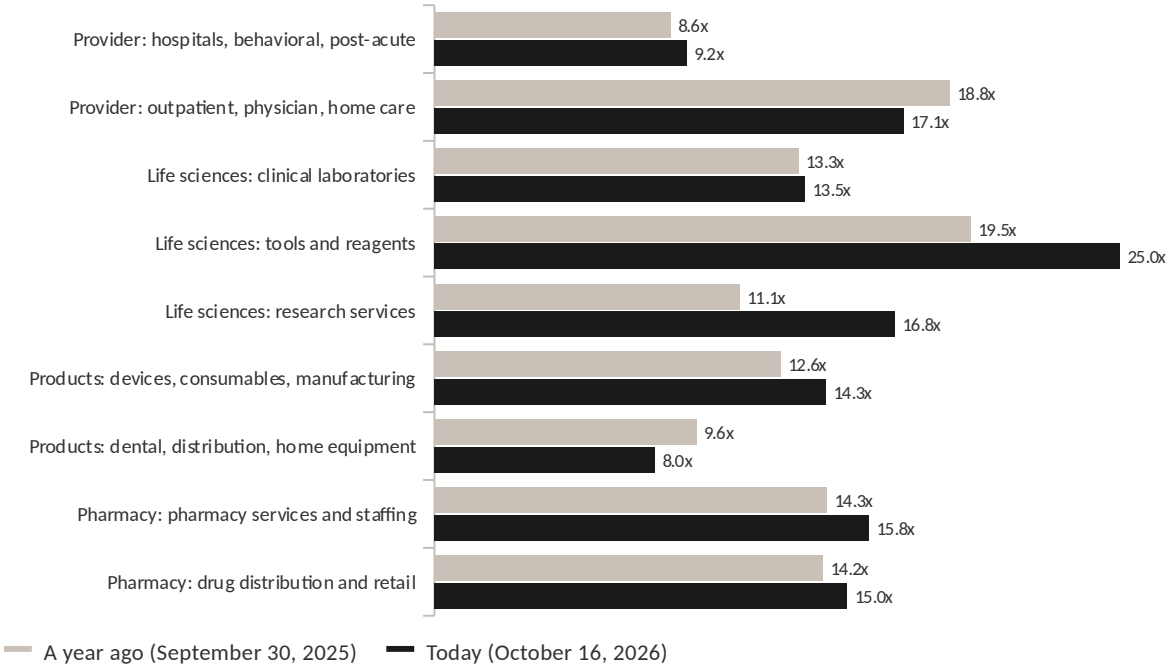
Transactions closed in the trailing 24 months on which Benchmark International advised the seller, as announced at benchmarkintl.com. Nine of the twelve are shown.

# Valuation Multiples by Sector

Life sciences and diagnostics re-rated from 13.3x to 18.7x adjusted EBITDA in a year; provider services, medical products, and pharmacy services moved by 1.3 turns or less.

## Enterprise value to trailing adjusted EBITDA, median by subsector

Enterprise value at October 16, 2026 (a year ago: September 30, 2025) over adjusted EBITDA for the twelve months to June 2026 (June 2025).




| MEDIAN EV TO TRAILING ADJUSTED EBITDA | A YEAR AGO | TODAY | CHANGE | COMPANIES |
|---|---|---|---|---|
| Provider Services | 14.5x | **14.2x** | -0.3x | 11 / 11 |
| Life Sciences & Diagnostics | 13.3x | **18.7x** | +5.4x | 9 / 9 |
| Medical Products & Distribution | 12.0x | **10.7x** | -1.3x | 10 / 9 |
| Pharmacy & Healthcare Services | 14.2x | **15.0x** | +0.9x | 8 / 8 |

### PRIVATE-MARKET REFERENCE POINTS

**13.6x**

Median EBITDA multiple private equity paid for healthcare services companies in 2025; the median target had $162.5 million of revenue ( PitchBook via Becker's ASC Review)

**7.0x**

Average for completed middle-market transactions across industries, second quarter of 2026 (GF Data via ACG)

**5.8x**

Multiple paid for businesses of $5 million to $50 million across industries, second quarter of 2026 (IBBA and M&A Source)

*Listed multiples describe companies many times larger than a founder-owned business. They show relative standing among the sectors, and a private company's price is set by its own earnings, growth, and risk.*

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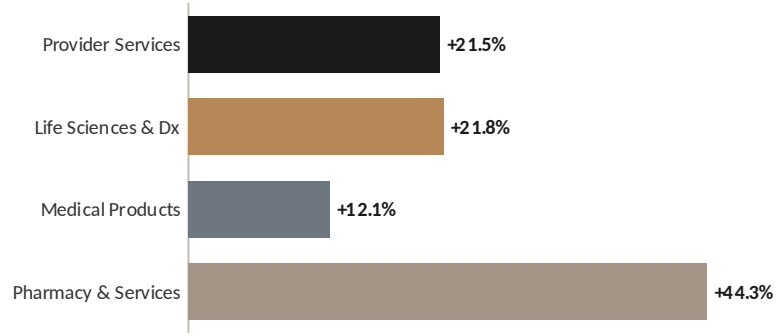
Changes are calculated before rounding. Source: company earnings releases and filings for adjusted EBITDA; StockAnalysis for enterprise values and prices, retrieved October 19, 2026 (closing prices of October 16). Where a company reports adjusted operating income rather than adjusted EBITDA, depreciation is added. U.S. Physical Therapy reports adjusted EBITDA net of noncontrolling interests. Teleflex is shown for continuing operations and has no comparable year-ago figure, and company counts are shown as today / a year ago. Bio-Techne and Integer Holdings trade at agreed acquisition prices.

# Public Company Stock Performance: Past 12 Months

Pharmacy and healthcare services shares rose 44% at the median and life sciences shares rose 22%, while provider shares rose 21% and medical products shares rose 12%.

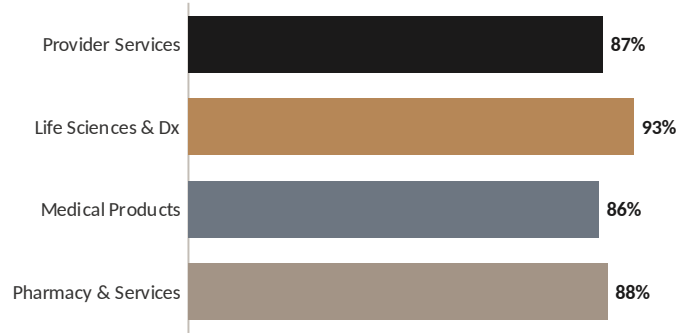
## Share price change, past 52 weeks

Median of the listed companies by sector




## Share price relative to the 52-week high

Median of the listed companies by sector




Shares rose over the year at 29 of the 38 companies: 7 of 11 provider companies, 8 of 9 life sciences and diagnostics companies, 6 of 10 medical products companies, 8 of 8 pharmacy and healthcare services companies.

## LARGEST GAINS, 52 WEEKS

| | |
|---|---|
| LifeStance Health | +126.2% |
| AMN Healthcare | +111.0% |
| BrightSpring Health Services | +108.4% |
| Concentra | +85.7% |
| Charles River | +75.8% |
| Pennant | +72.9% |
| Cardinal Health | +63.2% |
| Guardian Pharmacy Services | +61.7% |
| DaVita Kidney Care | +48.7% |
| Henry Schein | +36.6% |
| Tenet Health | +34.1% |
| VieMed | +31.8% |
| IQVIA | +31.4% |
| ThermoFisher Scientific | +30.7% |
| McKesson | +26.9% |
| Quest Diagnostics | +25.4% |

## FLAT OR DOWN, 52 WEEKS

| | |
|---|---|
| Dentsply Sirona | -33.0% |
| Stryker | -20.3% |
| Privia Health | -10.8% |
| ICON | -9.4% |
| Steris | -6.0% |
| USPH | -5.1% |
| Zimmer Biomet | -4.4% |
| Ensign Group | -0.7% |
| Addus HomeCare | 0.0% |



Source: StockAnalysis, retrieved October 19, 2026; prices are closing prices of October 16, 2026. Price change excludes dividends. Bio-Techne and Integer Holdings trade near agreed acquisition prices.

# Public Company Operating and Valuation Metrics

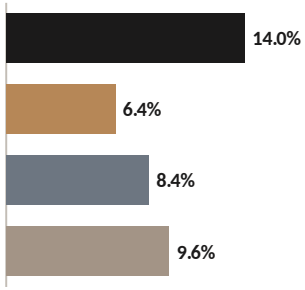
Provider companies are growing fastest, life sciences and diagnostics earns the highest margins and multiples, and drug distribution holds the pharmacy sector's margins down.

Provider Services | Life Sciences & Diagnostics | Medical Products & Distribution | Pharmacy & Healthcare Services

## OPERATING METRICS

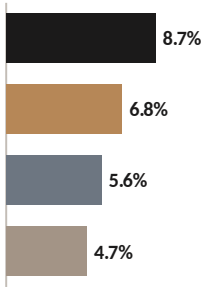
### Revenue growth, trailing twelve months

Median, year over year, including acquisitions



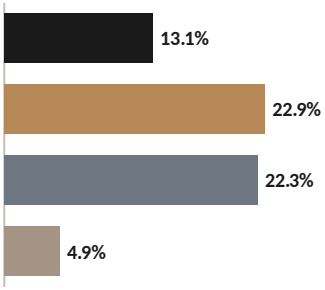

### Revenue growth, analyst consensus

Median estimate for the current fiscal year



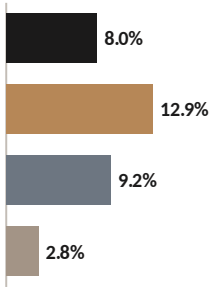

### Adjusted EBITDA margin, LTM

Median, company-reported adjusted EBITDA




### Free cash flow margin

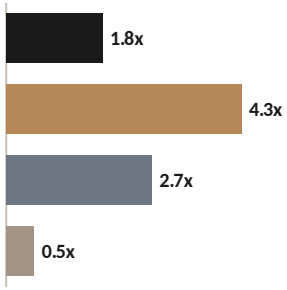
Median, trailing twelve months




## VALUATION METRICS

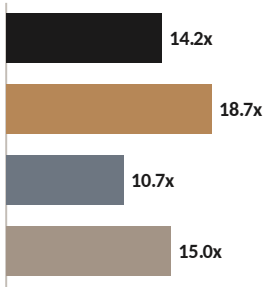
### EV to trailing revenue

Median



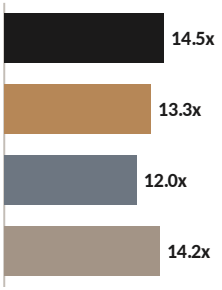

### EV to trailing adjusted EBITDA

Median



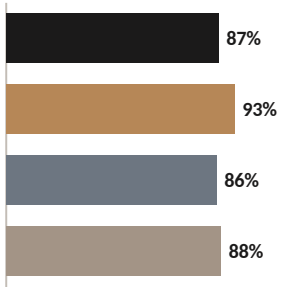

### EV to trailing adjusted EBITDA, a year ago

Median, same companies




### Share price relative to 52-week high

Median




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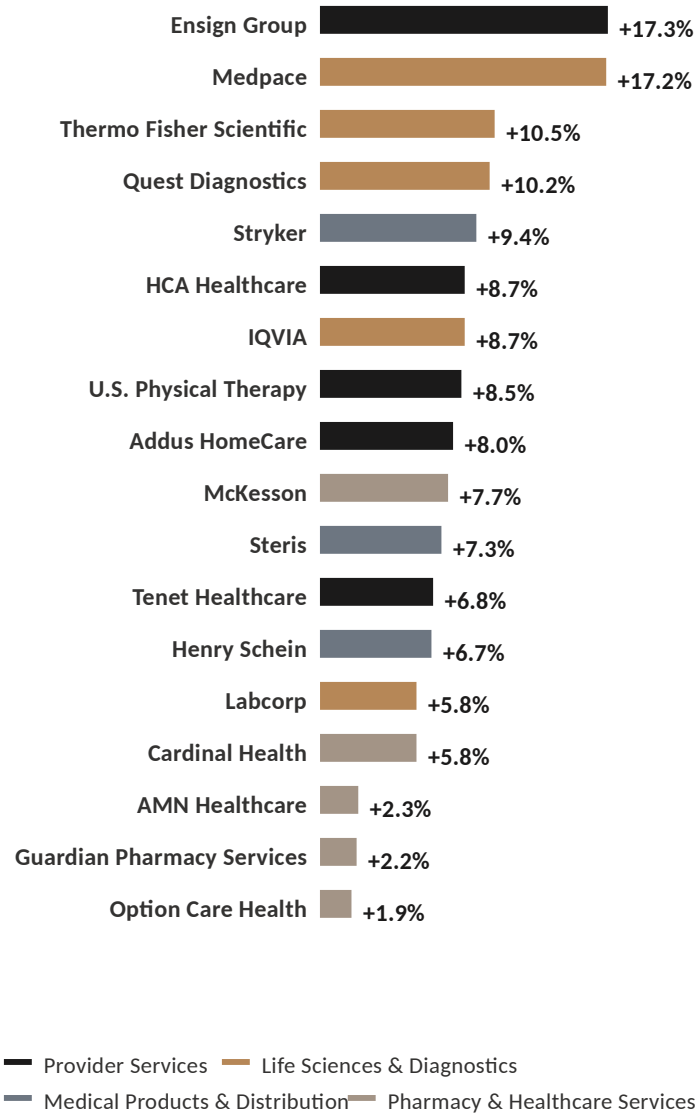
Source: company filings for adjusted EBITDA; StockAnalysis for market data, retrieved October 19, 2026. Bars in each panel run in the order of the key. Consensus growth and free cash flow margin are StockAnalysis figures as of October 7, 2026, and fiscal years differ. Company detail is in the appendix.

# Earnings and Commentary

Skilled nursing and research services grew fastest in the latest quarter, laboratories and device makers grew 5.8% to 10.5%, and pharmacy and staffing grew about 2%.

## Revenue growth, latest reported quarter

Year over year, as stated in each earnings release; quarters ended June 2026




### PROVIDER SERVICES

*"We continue to see opportunities that include everything from larger portfolios, landlords looking to replace current tenants, non-profits looking to divest of their post-acute assets and a steady flow of traditional onesie-twosies."*

Chad Keetch, Chief Investment Officer, The Ensign Group

### PROVIDER SERVICES

*"Recently, we have begun to see an increasing number of personal care opportunities, which we will be actively pursuing. Since the announcement of the 2027 proposed home health rule rate, there is more optimism around potential deals in skilled home health care."*

Dirk Allison, Chairman and CEO, Addus HomeCare

### LIFE SCIENCES & DIAGNOSTICS

*"Hospitals continue to contend with workforce, financial and other pressures. As a preferred strategic partner, we empower hospitals to improve quality, expand access to new test innovations, and maximize cost efficiencies and capital allocation."*

Jim Davis, Chairman, CEO, and President, Quest Diagnostics

### LIFE SCIENCES & DIAGNOSTICS

*"As you know, our capital deployment strategy continues to prioritize strategic M&A, complemented by a return of capital to our shareholders. We continue to have an active pipeline of M&A opportunities in our highly fragmented industry."*

Marc Casper, Chairman and CEO, Thermo Fisher Scientific

### MEDICAL PRODUCTS & DISTRIBUTION

*"When you think about onshoring, it's not just a move to the U.S. There's localization going on globally as tariffs become more of a play in Europe and in the U.S. You'll see some duplication of manufacturing sites, whereas maybe in the past you might have one site globally that is focusing on one pharmaceutical product."*

Dan Carestio, President and CEO, STERIS

### MEDICAL PRODUCTS & DISTRIBUTION

*"We also have a leading position in the fast-growing DSO segment of the market, which is driven especially by the middle market segment. As these DSOs continue to consolidate the dental market, this structural advantage should allow us to outgrow the broader dental market."*

Fred Lowery, Chief Executive Officer, Henry Schein

### PHARMACY & HEALTHCARE SERVICES

*"We are uniquely positioned to capitalize on the continued growth from these fast-growing categories, especially in the areas of urology, oncology, and neurology."*

Jason Hollar, CEO, Cardinal Health

### PHARMACY & HEALTHCARE SERVICES

*"Most of last year it was relatively quiet. There were a few transactions in certain categories, but not as many as we expected. That's changed over the last couple of quarters. We're starting to see more assets come to market."*

Brian Scott, CFO and COO, AMN Healthcare

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Growth is total revenue as reported, including acquisitions, computed from each release's dollar figures; Steris and McKesson figures are for fiscal first quarters and Cardinal Health for its fiscal fourth quarter, all ended June 30, 2026. Quotations are from earnings releases, prepared remarks, and call transcripts for the quarter, lightly edited for fillers.

# 03

# Connect With Us

- Benchmark International
- Connect with Jared Hardin
- Appendix: public market metrics
- Sources



# Benchmark International

The world's leading privately owned sell-side M&A advisor focused on five industries.

BENCHMARK® INTERNATIONAL

Benchmark International advises owners of privately held companies around the world, and its Middle Market team represents owners of companies with $50 million to $500 million of total enterprise value in strategic sales, mergers, and qualifying change-of-control transactions. The first step is a confidential conversation about your goals, your company, and your options.

**#1**

Privately owned sell-side M&A advisor worldwide, based on PitchBook's Q2 2026 Global League Tables

**$50M to $500M**

Total enterprise value range the Middle Market team serves

**5**

Focused industry groups with dedicated sector expertise

**15**

Global offices across the Americas, Europe, and Africa

## RECOGNITION

THE M&A ADVISOR
INVESTMENT BANKING FIRM OF THE YEAR

PitchBook
#1 SELL-SIDE EXCLUSIVE M&A ADVISOR IN THE WORLD

LSEG
#1 PRIVATELY-HELD M&A ADVISORS WORLDWIDE

DealMakers
MERGERS & ACQUISITIONS (UNLISTED DEALS) FIRST IN THE CATEGORY OF INVESTMENT ADVISERS (DEAL FLOW)

## FIVE INDUSTRY GROUPS

- INDUSTRIALS
- BUSINESS SERVICES
- CONSUMER
- HEALTHCARE
- TECHNOLOGY

Ranking based on PitchBook's Q2 2026 Global League Tables, as published at benchmarkintl.com. Awards as shown at benchmarkintl.com.

# Connect With Us

A first conversation is confidential and carries no obligation.

A CONFIDENTIAL FIRST CONVERSATION

## It all starts with a conversation.

The first step is a confidential conversation about the company, the owner's goals, and the options available. Owners considering a strategic sale, merger, or qualifying change-of-control transaction in the four sectors, and the advisors who work with them, are welcome to call or write.



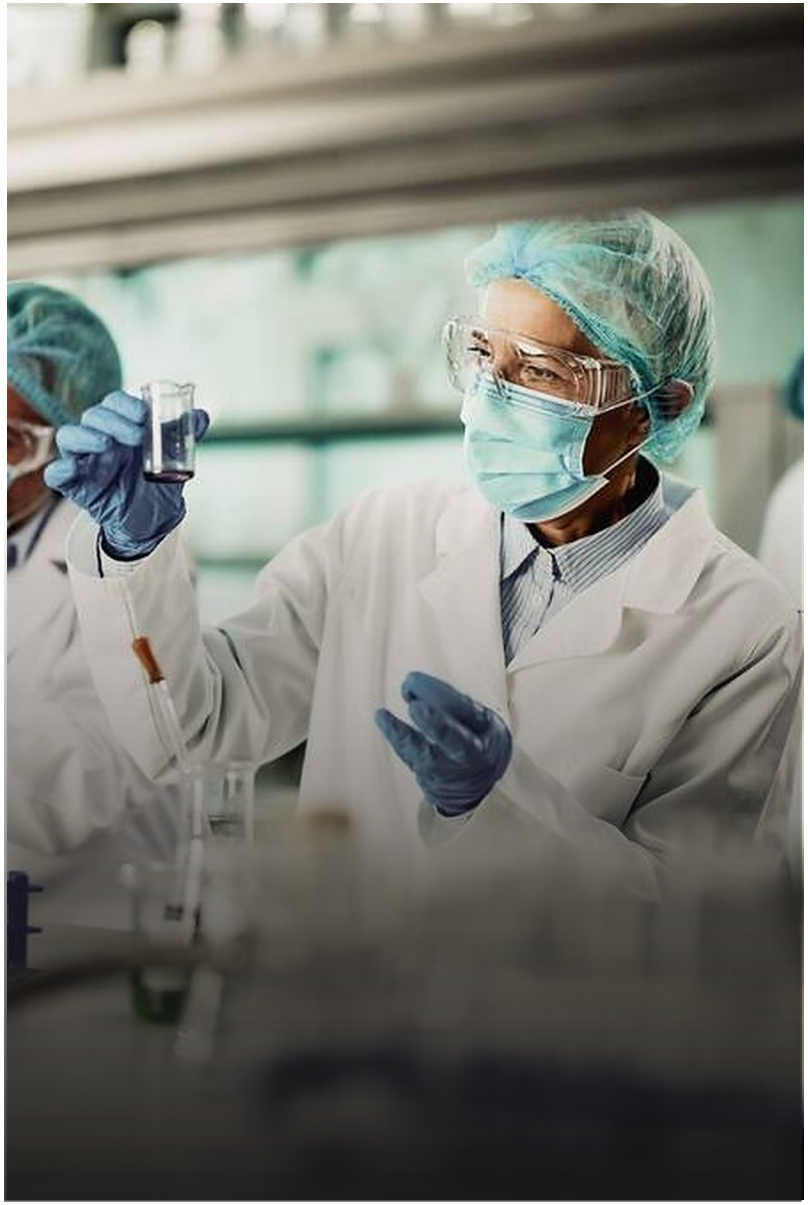
**Jared Hardin**

MANAGING DIRECTOR

210-241-7990

j.hardin@benchmarkintl.com

SCHEDULE A CONVERSATION



# Appendix: Public Market Operating and Valuation Metrics

As of October 16, 2026. Provider Services and Life Sciences & Diagnostics sectors, grouped by subsector.

| COMPANY | MARKET CAP ($M) | ENTERPRISE VALUE ($M) | % OF 52-WEEK HIGH | 52-WEEK PRICE CHANGE | REVENUE GROWTH, LTM | GROSS MARGIN, LTM | ADJ. EBITDA MARGIN, LTM | EV / LTM REVENUE | EV / LTM ADJ. EBITDA | EV / ADJ. EBITDA A YEAR AGO |
|---|---|---|---|---|---|---|---|---|---|---|
| **PROVIDER SERVICES** | | | | | | | | | | |
| *Hospitals, behavioral, and post-acute facilities* | | | | | | | | | | |
| **HCA Healthcare HCA** | 99,340 | 149,760 | 82% | +9.2% | 7.3% | 42.6% | 20.3% | 1.92x | 9.5x | 10.2x |
| **Tenet Healthcare THC** | 21,520 | 32,600 | 94% | +34.1% | 5.4% | 41.7% | 21.8% | 1.49x | 6.9x | 7.7x |
| **Acadia Healthcare ACHC** | 2,790 | 5,210 | 84% | +21.5% | 4.3% | 41.1% | 16.8% | 1.55x | 9.2x | 6.9x |
| **Ensign Group ENSG** | 10,210 | 12,140 | 81% | -0.7% | 18.9% | 16.6% | 12.2% | 2.21x | 18.1x | 21.3x |
| **DaVita DVA** | 11,950 | 24,660 | 76% | +48.7% | 6.4% | 32.4% | 20.5% | 1.76x | 8.6x | 8.6x |
| *Outpatient, physician, and home-based care* | | | | | | | | | | |
| **U.S. Physical Therapy USPH** | 1,267 | 1,627 | 91% | -5.1% | 11.4% | 21.5% | 11.9% | 2.02x | 17.0x | 20.5x |
| **Addus HomeCare ADUS** | 2,120 | 2,130 | 93% | 0.0% | 15.9% | 32.0% | 12.8% | 1.44x | 11.3x | 14.5x |
| **Pennant Group PNTG** | 1,460 | 1,940 | 98% | +72.9% | 37.9% | 19.6% | 7.8% | 1.76x | 22.6x | 19.4x |
| **LifeStance Health LFST** | 4,490 | 4,730 | 87% | +126.2% | 20.4% | 33.6% | 13.0% | 2.99x | 22.9x | 18.1x |
| **Privia Health PRVA** | 2,880 | 2,470 | 78% | -10.8% | 24.1% | 10.0% | 6.1% | 1.05x | 17.2x | 26.1x |
| **Concentra CON** | 4,780 | 6,760 | 95% | +85.7% | 14.0% | 29.3% | 20.8% | 2.95x | 14.2x | 12.1x |
| **Median** | | | **87%** | **+21.5%** | **14.0%** | **32.0%** | **13.0%** | **1.76x** | **14.2x** | **14.5x** |
| **LIFE SCIENCES & DIAGNOSTICS** | | | | | | | | | | |
| *Clinical laboratories* | | | | | | | | | | |
| **Labcorp LH** | 25,790 | 32,470 | 93% | +12.4% | 6.4% | 28.9% | 17.4% | 2.26x | 13.0x | 13.2x |
| **Quest Diagnostics DGX** | 25,940 | 31,720 | 94% | +25.4% | 9.9% | 33.2% | 19.6% | 2.74x | 14.0x | 13.3x |
| *Tools and reagents* | | | | | | | | | | |
| **Thermo Fisher Scientific TMO** | 255,130 | 293,610 | 98% | +30.7% | 7.2% | 41.0% | 25.4% | 6.34x | 25.0x | 18.8x |
| **Danaher DHR** | 158,680 | 182,190 | 93% | +9.6% | 4.6% | 58.8% | 31.4% | 7.26x | 23.1x | 19.5x |
| **Bio-Techne TECH** | 11,380 | 11,400 | 100% | +21.8% | -0.4% | 66.2% | 35.4% | 9.34x | 26.4x | 20.8x |
| *Research services* | | | | | | | | | | |
| **IQVIA IQV** | 43,930 | 58,110 | 96% | +31.4% | 8.2% | 33.0% | 23.1% | 3.42x | 14.8x | 12.3x |
| **Medpace MEDP** | 17,260 | 16,900 | 91% | +20.2% | 24.7% | 72.3% | 22.0% | 6.07x | 27.6x | 29.0x |
| **ICON ICLR** | 13,130 | 15,730 | 83% | -9.4% | 3.3% | 23.9% | 16.4% | 1.90x | 11.6x | 9.8x |
| **Charles River Laboratories CRL** | 14,330 | 17,170 | 90% | +75.8% | -0.7% | 34.6% | 22.9% | 4.29x | 18.7x | 10.0x |
| **Median** | | | **93%** | **+21.8%** | **6.4%** | **34.6%** | **22.9%** | **4.29x** | **18.7x** | **13.3x** |

Source: company earnings releases and filings for adjusted EBITDA; StockAnalysis for market data, retrieved October 19, 2026 (closing prices of October 16). LTM is the twelve months to June 30, 2026; a year ago is enterprise value at September 30, 2025 over the twelve months to June 30, 2025. Where a company reports adjusted operating income rather than adjusted EBITDA, depreciation is added. n.a. marks a figure that is not comparable because of a change in reporting basis.

# Appendix: Public Market Operating and Valuation Metrics

As of October 16, 2026. Medical Products & Distribution and Pharmacy & Healthcare Services sectors, grouped by subsector. The total covers all 38 companies.

| COMPANY | MARKET CAP ($M) | ENTERPRISE VALUE ($M) | % OF 52-WEEK HIGH | 52-WEEK PRICE CHANGE | REVENUE GROWTH, LTM | GROSS MARGIN, LTM | ADJ. EBITDA MARGIN, LTM | EV / LTM REVENUE | EV / LTM ADJ. EBITDA | EV / ADJ. EBITDA A YEAR AGO |
|---|---|---|---|---|---|---|---|---|---|---|
| **MEDICAL PRODUCTS & DISTRIBUTION** | | | | | | | | | | |
| *Devices, consumables, and manufacturing* | | | | | | | | | | |
| **Stryker SYK** | 113,020 | 124,990 | 75% | -20.3% | 8.5% | 65.6% | 28.2% | 4.84x | 17.2x | 23.8x |
| **Zimmer Biomet ZBH** | 18,120 | 25,250 | 89% | -4.4% | 8.6% | 69.5% | 32.2% | 2.97x | 9.2x | 10.2x |
| **Teleflex TFX** | 5,530 | 8,140 | 90% | +7.4% | n.a. | 55.1% | 23.3% | 3.61x | 15.5x | n.a. |
| **Solventum SOLV** | 14,610 | 19,500 | 91% | +19.9% | -0.9% | 54.8% | 24.3% | 2.35x | 9.7x | 10.1x |
| **Steris STE** | 21,710 | 23,270 | 83% | -6.0% | 8.4% | 44.4% | 27.3% | 3.85x | 14.1x | 17.4x |
| **Integer Holdings ITGR** | 4,310 | 5,650 | 100% | +22.1% | 2.7% | 26.1% | 21.3% | 3.07x | 14.4x | 12.6x |
| *Dental, distribution, and home equipment* | | | | | | | | | | |
| **Henry Schein HSIC** | 9,630 | 13,280 | 94% | +36.6% | 6.5% | 31.3% | 8.6% | 0.98x | 11.4x | 12.0x |
| **Dentsply Sirona XRAY** | 1,710 | 3,800 | 58% | -33.0% | -0.8% | 49.5% | 17.1% | 1.04x | 6.1x | 7.1x |
| **Envista NVST** | 3,680 | 4,140 | 75% | +16.8% | 11.9% | 55.4% | 14.5% | 1.45x | 10.0x | 12.5x |
| **Viemed Healthcare VMD** | 361 | 362 | 75% | +31.8% | 25.2% | 57.5% | 20.7% | 1.20x | 5.8x | 4.6x |
| **Median** | | | **86%** | **+12.1%** | **8.4%** | **54.9%** | **22.3%** | **2.66x** | **10.7x** | **12.0x** |
| **PHARMACY & HEALTHCARE SERVICES** | | | | | | | | | | |
| *Pharmacy services and staffing* | | | | | | | | | | |
| **Option Care Health OPCH** | 4,670 | 5,740 | 85% | +15.0% | 5.9% | 19.1% | 8.2% | 1.01x | 12.3x | 11.9x |
| **BrightSpring BTSG** | 12,990 | 14,830 | 85% | +108.4% | 26.4% | 12.4% | 5.1% | 1.03x | 20.1x | 16.7x |
| **Guardian Pharmacy Services GRDN** | 2,500 | 2,450 | 82% | +61.7% | 10.3% | 21.6% | 8.7% | 1.68x | 19.4x | 17.4x |
| **AMN Healthcare AMN** | 1,610 | 2,020 | 100% | +111.0% | 24.0% | 27.8% | 10.2% | 0.59x | 5.7x | 6.1x |
| *Drug distribution and retail pharmacy* | | | | | | | | | | |
| **McKesson MCK** | 117,150 | 123,790 | 99% | +26.9% | 8.8% | 3.6% | 1.7% | 0.30x | 17.3x | 17.1x |
| **Cencora COR** | 65,060 | 76,700 | 90% | +6.7% | 5.1% | 4.0% | 1.5% | 0.23x | 14.9x | 15.2x |
| **Cardinal Health CAH** | 58,830 | 63,970 | 98% | +63.2% | 14.2% | 3.8% | 1.7% | 0.25x | 15.2x | 13.1x |
| **CVS Health CVS** | 118,130 | 180,470 | 83% | +14.5% | 7.4% | 13.6% | 4.6% | 0.44x | 9.5x | 10.1x |
| **Median** | | | **88%** | **+44.3%** | **9.6%** | **13.0%** | **4.9%** | **0.51x** | **15.0x** | **14.2x** |
| **Total reference set median** | | | **90%** | **+20.9%** | **8.4%** | **32.7%** | **17.2%** | **1.91x** | **14.3x** | **13.1x** |

Source: company earnings releases and filings for adjusted EBITDA; StockAnalysis for market data, retrieved October 19, 2026 (closing prices of October 16). LTM is the twelve months to June 30, 2026; a year ago is enterprise value at September 30, 2025 over the twelve months to June 30, 2025. Where a company reports adjusted operating income rather than adjusted EBITDA, depreciation is added. n.a. marks a figure that is not comparable because of a change in reporting basis.

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### PUBLIC COMPANY OPERATING AND VALUATION METRICS (PAGE 19)

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